What is the SOX Index?

A leading stock index tracking semiconductor-related shares

Semiconductor-related companies listed in the US

SOX refers to the PHLX Semiconductor Sector Index. It tracks major semiconductor-related companies listed on US markets.

From chipmakers to production equipment

The index includes chip design and manufacturing businesses as well as related companies such as semiconductor equipment suppliers.

A guide to the sector’s market direction

It helps indicate whether semiconductor-related stocks are being bought or sold as a group. It does not cover every semiconductor company worldwide.

Constituents and weights

The constituent companies and their weights change through periodic reviews and other adjustments.

Why markets watch the SOX Index

Reflecting semiconductor demand and market expectations

Where semiconductors are used

AI and data centers, smartphones, PCs, vehicles, industrial machinery, communications equipment, game consoles, defense and space.

Reasons the index may rise

Expectations of growing demand, improving corporate results and recovering capital expenditure can support semiconductor-related shares.

Reasons the index may fall

Slower demand, inventory adjustments, rising interest rates and weaker earnings outlooks can contribute to declines.

Limits of interpretation

Movements in the SOX Index alone cannot establish the state of the whole economy or the underlying reality of semiconductor demand.

The link with Japanese chip stocks

US market movements can affect investor sentiment in Japan

Japanese companies often viewed as related

Company	Business
Tokyo Electron	Semiconductor production equipment
Advantest	Semiconductor test equipment
DISCO	Cutting, grinding and polishing equipment
Lasertec	Semiconductor inspection and measurement

Effects on the next trading day

Large moves in the SOX Index or major semiconductor shares in the US may affect sentiment toward semiconductor-related stocks in Tokyo on the next trading day.

They do not always move in the same direction

Japanese stocks are also affected by exchange rates, broad market conditions, company earnings and orders, and valuations. A rise in the SOX Index does not guarantee a rise in Japanese chip stocks.

Reading SOX alongside other indicators

Understanding what each source of information tells you

Indicators and information

Indicator or information	Main insight
SOX Index	Direction of US-listed semiconductor-related shares
Major semiconductor stocks	Company-specific earnings expectations and share-price strength
NASDAQ Composite	US stock trends with a large technology component
US interest rates	The valuation environment for growth stocks and others
USD/JPY	Exchange-rate effects on Japanese companies’ earnings
Company results and orders	Business conditions that an index alone cannot show

What the SOX Index represents

The index reflects the market’s valuation of semiconductor-related stocks. It does not directly represent corporate earnings themselves or movements in the Japanese stock market as a whole.